

NVIDIA Corporation

NASDAQ: NVDA • Semiconductors • AI Infrastructure

Equity Research Brief — Neutral / Watchlist

Current Price \$205.10	52-Week Range \$138.83 – \$236.54
Market Cap \$4.97T	P/E Ratio (TTM) 31.46x
EV/EBITDA 25.39x	Revenue (TTM) \$253.5B
Net Income (TTM) \$159.6B	Gross Margin 74.15%
Rating Neutral / Watchlist	Analysis Date June 2026

BUSINESS OVERVIEW

NVIDIA operates through two primary segments: Compute & Networking and Graphics. The Compute & Networking segment, driven by its Data Centre business; has become the dominant revenue engine, accounting for the overwhelming majority of FY2025 revenues, fuelled by surging global demand for AI accelerators. The Graphics segment encompasses GeForce GPUs for gaming, professional visualization (Quadro/RTX), and automotive platforms.

Key clients span hyperscalers (Microsoft Azure, Google Cloud, Amazon AWS, Meta), sovereign AI initiatives, and enterprise customers deploying AI infrastructure at scale. Automotive OEMs adopting the DRIVE platform represent a nascent but growing vertical.

Geographic exposure is concentrated in the United States and Asia-Pacific, with Data Centre demand increasingly driven by US-based cloud providers. China remains a material; though structurally constrained, market following successive US export control restrictions.

Competitive moats are two-fold. First, CUDA, NVIDIA’s proprietary parallel computing platform, represents a decade-plus developer ecosystem that is exceptionally difficult to replicate — creating deep software-layer lock-in. Second, leading-edge silicon design, exemplified by the Hopper and Blackwell architectures, sustains meaningful performance-per-watt advantages over AMD, Intel, and custom silicon alternatives, reinforcing NVIDIA’s pricing power across the AI infrastructure stack.

INVESTMENT THESIS

▲ Bull Case

Sustained hyperscaler capex expansion and sovereign AI buildouts drive Data Centre revenues materially above consensus, with Blackwell architecture adoption accelerating across both training and inference workloads. CUDA ecosystem entrenchment prevents meaningful share loss, allowing NVIDIA to sustain 70%+ gross margins through the next upgrade cycle.

— Base Case

AI infrastructure spending normalises post the current buildout phase, with NVIDIA maintaining dominant market share but facing modest gross margin compression as competition from AMD and custom silicon (TPUs, Trainium) incrementally intensifies. Revenue growth decelerates from triple-digit levels toward a mid-to-high teens CAGR, consistent with a maturing; though structurally large, addressable market.

▼ Bear Case

US export controls tighten further, materially impairing China revenues while hyperscalers accelerate in-house silicon programmes, structurally eroding NVIDIA's pricing power. A capex digestion cycle triggers order pushouts, compressing near-term earnings visibility.

KEY RISKS

1. Export Control Escalation

- **Risk:** Further US government restrictions on chip exports to China and allied-restricted markets.
- **Why it matters:** China historically contributed ~20–25% of Data centre revenues; incremental restrictions directly impair the top line.
- **Mitigant:** NVIDIA is developing compliant, downgraded SKUs (e.g. H20) to preserve addressable market within regulatory boundaries.

2. Hyperscaler In-House Silicon

- **Risk:** Microsoft (Maia), Google (TPU), Amazon (Trainium) accelerating proprietary AI chip development.
- **Why it matters:** Hyperscalers represent NVIDIA's largest demand concentration; partial substitution materially impacts volume and pricing.
- **Mitigant:** NVIDIA is deepening software integration and expanding its platform beyond silicon — NIM microservices, DGX Cloud — to raise switching costs.

3. Demand Cyclicalities & Inventory Digestion

- **Risk:** AI capex growth decelerates sharply as hyperscalers absorb existing Hopper/Blackwell capacity.
- **Why it matters:** Order pushouts would compress near-term revenue and trigger negative earnings revisions, disproportionately impacting the valuation multiple.
- **Mitigant:** Diversification into automotive (DRIVE), edge AI, and sovereign deployments provides incremental demand buffers outside hyperscaler concentration.

Disclaimer

This research brief was produced as part of an academic AI-in-Finance project and is intended solely for educational purposes. It does not constitute investment advice. Data sourced from Yahoo Finance, Stock Analysis, and Macrotrends as of June 2026. The author holds no position in NVDA.